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PART II

Statutory Notifications (S. R. O.)

GOVERNMENT OF PAKISTAN

REVENUE DIVISION

(Federal Board of Revenue)

NOTIFICATION

Islamabad, the 9th March, 2016

(CUSTOMS)

S. R. O. 209(I)/2016.—In exercise of the powers conferred by section 219 of the Customs Act, 1969 (IV of 1969), read with clause (b) of first proviso to section 82 thereof, the Federal Board of Revenue is pleased to direct that the following further amendments shall be made in the Customs Rules, 2001, dated the 18th June, 2001, namely:—

In the aforesaid Rules, after chapter XXVI, the following new chapter XXVII shall be added, namely:—

(801)

“CHAPTER XXVII**DISPOSAL OF OVER STAYED NON-PROHIBITED BORE ARMS AND AMMUNITION**

670. **Scope.**—Notwithstanding anything contained in Chapter V, these rules shall apply to disposal of arms and ammunition of non-prohibited bore imported at customs stations which are not cleared within the time period provided for under section 82 of the Act.

671. **Definitions.**—In this chapter, unless there is anything repugnant in the subject or context,—

- (a) **“Act”** means the Customs Act, 1969 (IV of 1969);
- (b) **“dealer”** means an arms and ammunition dealer possessing an operative valid license issued by the Federal Government or a Provincial Government under the relevant statutes and who possess valid import authorization from the Ministry of Commerce;
- (c) **“non-prohibited bore”** means description, caliber or bore of weapons which are specified as non-prohibited bore by the Ministry of Interior under a notification issued in pursuance of relevant provisions of the Pakistan Arms Ordinance, 1965 (W.P Ord. XX of 1965); and
- (d) **“offer”** means an offer in writing submitted by the licensed dealer of arms and ammunition in a sealed envelope.

672. **Details of uncleared arms and ammunition and determination of value.**—(1) Terminal operators, ports, airports and dry ports shall inform the respective Assistant Collector or Deputy Collector of Customs in-charge of examinations at the respective port or land customs-station or air freight unit, as the case may be, about complete details of all arms and ammunition consignments which are not cleared within the stipulated period as provided for under section 82 of the Act.

(2) The Assistant Collector or as the case may be, the Deputy Collector shall determine the status or service-ability of the uncleared arms and ammunition *vis-à-vis* their being current, in service or otherwise through a representative of Pakistan Ordnance Factory, Wah (P.O.F.) or nearest Combined Ordnance Depot (C.O.D.).

(3) The arms and ammunitions, which is found to be non-current or non-serviceable shall be dealt with in terms of Para 34 (VIII) (b) of CGO 12 of 2002.

(4) The list of arms and ammunition which is found current or serviceable shall be communicated by the Assistant Collector or Deputy Collector to the relevant Collector who will have the customs value and reserve price determined for the same by a committee comprising of officers or officials of the Directorate General of Customs Valuation and the concerned Assessment Group of the Collectorate, with at least one Assistant Director or Assistant Collector from each organization.

(5) The customs value of old arms and ammunition may be reduced @ 1.5% per annum for arms and @3% per annum for ammunition, upto a maximum of 50% depreciation. This depreciation shall, however, not be applicable in cases of antique arms and ammunition.

673. Invitation of offers.—(1) Arms and ammunition referred to in sub-rule (4) of rule 672 will be offered for disposal to licensed dealers having valid import authorization from the Ministry of Commerce and possessing sufficient quota for import of relevant category of arms through advertisement published in an English and Urdu national daily newspaper, as well as posted on the FBR web-site, giving complete details thereof including date, time and place of said disposal.

(2) Arms and ammunition may be offered for disposal in lots as may be convenient.

(3) The licensed dealers who have sufficient quota for import of relevant category of arms and who wants to purchase such arms and ammunition will be provided access to the strong room for inspection seven days prior to the prescribed date of disposal.

(4) After inspection all interested dealers shall submit their sealed offers to the Assistant Collector or Deputy Collector-in-charge of such disposal. The sealed offers will be opened on the specified date by the Assistant Collector or Deputy Collector in the presence of all the dealers or their authorized representatives who have submitted their offers.

(5) The name of the dealer making highest offer and its value will be openly announced by the Assistant Collector or Deputy Collector in the presence of all the dealers or their authorized representatives.

(6) If the highest offer is less than eighty percent of the reserve price it shall be rejected by the Assistant or Deputy Collector on the spot and goods will be put to re-disposal.

(7) Fifty percent of the highest offer amount will be deposited by the offerer or dealer on the same day *i.e.* day of falling of hammer, failing which his

offer will be deemed to have been rejected and goods will be offered to the next highest offerer or dealer provided his offer is not less than eighty percent of the reserve price.

(8) In case the second highest offer is less than eighty percent of the reserve price goods will be put to disposal afresh.

674. Acceptance of offer and conditions thereof.—(1) The Assistant or Deputy Collector in-charge of disposal, will forward the successful offer to the Collector for acceptance or otherwise, enclosing, *inter alia*, the arms dealer license and valid import authorization from Ministry of Commerce having sufficient quota for import of relevant category of arms, duly covering the quantity of goods being offered for disposal. Prior to forwarding the offer to the Collector, the Assistant or Deputy Collector will verify the dealer's license and import authorization from their original.

(2) The Collector may, if otherwise deem appropriate, accept the offer. However, in the absence of a valid import authorization or in the presence of a valid authorization but not having sufficient quota for import of relevant category of arms, the offer will be accepted subject to provision of the same from the Ministry of Commerce within a period of thirty days, failing which his offer shall stand rejected automatically.

(3) On acceptance of offer by the Collector, balance amount of offer shall be deposited in the National Bank of Pakistan or Government Treasury.

- (a) within two working days of acceptance if a valid import authorization from the Ministry of Commerce, having sufficient quota for import of relevant category of arms is available with the offerer;
- (b) within two working days of receipt of import authorization from Ministry of Commerce, having sufficient quota for import of relevant category of arms is available with the offerer; and
- (c) in case of non-deposit of balance as above, the fifty percent amount paid upfront shall stand forfeited.

(4) In case of non-acceptance of offer, 50% amount of money paid upfront will be refunded to the offerer.

675. Delivery of disposed of arms and ammunition.—(1) After acceptance of offer and payment of whole amount of offer the Assistant Collector

or Deputy Collector, in-charge of disposal of arms and ammunition, will issue delivery orders, under his/her signatures, giving name, address, arms dealer license number, NTN, date and place of disposal, lot number, full description and quantity, bore, serial number of the weapons and caliber of arms and ammunition to the successful bidder. Copy of the delivery order shall also be endorsed to the custodian.

(2) Delivery of such disposed of arms and ammunition shall be made, before sunset, in presence of the in-charge strong room or representative of custodian, a representative of the special branch of local police or Frontier Constabulary, not below the rank of sub-inspector and an officer of Customs, who will tally the delivery order with the actual goods being delivered and jointly sign the delivery record of the strong room and the delivery order issued by the Assistant Collector or Deputy Collector.

676. Intimation of particulars of disposed of arms and ammunition.—

(1) After delivery of arms and ammunition, written intimation shall be sent by the Assistant Collector or Deputy Collector, in-charge of such disposal, giving complete particulars, as per rule 675 to the Collector of Customs, Ministry of Commerce and Deputy Commissioner or DCO of the areas within whose jurisdiction business premises of the dealer are situated.

(2) The Collector of Customs, in whose jurisdiction registered business of the successful offerer is located, shall ensure that the import quota of relevant category of arms as authorized by the Ministry of Commerce, is properly adjusted so as to prevent exceeding quota ceiling by the successful offerer.

677. Power of Collector to cancel disposal of arms and ammunition.—

Notwithstanding anything contained in this chapter, the Collector may—

- (a) cancel the whole proceedings of the disposal of arms and ammunition without giving any reason;
- (b) restrict or refuse the entry of any person or dealer to the premises where disposal of arms and ammunition is taking place; and
- (c) may issue such general or special orders in writing to regulate the disposal of arms and ammunition with regard to public safety, as he may deem fit.”

[C. No. I (8)L&P/2001.]

MUHAMMAD ARSHAD KHAN,
Secretary (Law & Procedure).